



Segmentation Study

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Introduction



The purpose of this research is to identify and profile distinct market segments among Dutch Bros Coffee consumers based on their demographic, psychographic, behavioral, and perceptual characteristics in order to support targeted marketing strategies, brand positioning, and customer retention initiatives.



Problem Statement

Dutch Bros Coffee faces a growing challenge in understanding and **retaining its diverse customer base.**

As competition in the speciality coffee market intensifies, Dutch Bros must go beyond broad demographic targeting to uncover deeper psychographic and behavioral insight



Without clear segmentations, marketing strategies **risk being too generalized**, missing greater opportunities to connect emotionally with key audiences, strengthen loyalty, and guide future expansion





Marketing Segmentation Survey Questionnaire

Research
method

qualtrics^{XM}

Coffee Consumption Habits

12:29

On average, how often do you visit a Dutch Bros location?

☐ Daily

☐ Several times per week

☐ A few times per month

☐ Less than once a month

What time of day do you typically visit Dutch Bros? (Select all that apply)

☐ Morning (6 a.m.–10 a.m.)

☐ Midday (10 a.m.–2 p.m.)

☐ Afternoon (2 p.m.–6 p.m.)

☐ Evening (6 p.m.–10 p.m.)

Behavioral Segmentation

12:29

On average, how often do you visit a Dutch Bros location?

☐ Daily

☐ Several times per week

☐ A few times per month

☐ Less than once a month

What time of day do you typically visit Dutch Bros? (Select all that apply)

☐ Morning (6 a.m.–10 a.m.)

☐ Midday (10 a.m.–2 p.m.)

☐ Afternoon (2 p.m.–6 p.m.)

☐ Evening (6 p.m.–10 p.m.)

Brand Perception & Satisfaction

12:29

Please indicate how strongly you agree with each statement (1 = Strongly Disagree to 5 = Strongly Agree):

Strongly Disagree 1 Somewhat disagree 2 Neither agree nor disagree 3 Somewhat agree 4 Strongly agree 5

I see coffee as a key part of my daily routine.

☐

I prefer brands that promote a fun, positive, and energetic culture.

☐

Supporting community-focused or local brands is important to me.

☐

Psychographic Segmentation

12:29

How would you rate your overall satisfaction with Dutch Bros Coffee? (1 = Extremely dissatisfied to 5 = Extremely satisfied):

Extremely dissatisfied 1 Somewhat dissatisfied 2 Neither dissatisfied nor satisfied 3 Somewhat satisfied 4 Extremely satisfied 5

Rating

☐

Please rank the following factors in order of importance when choosing a coffee shop (1 = Most important):

Price 1 2 3 4 5 6

☐ ☐ ☐ ☐ ☐ ☐

Demographic Segmentation

12:29

How old are you?

☐ Under 18

☐ 18–24 years old

☐ 25–34 years old

☐ 35–44 years old

☐ 45–54 years old

☐ 55–64 years old

☐ 65+ years old

How do you describe yourself?

☐ Male



Sampling Method & Size

Online Survey Questionnaire

Non-probability convenience sampling:

- Respondents recruited through campus networks and social groups
- Participants required to be current or recent Dutch Bros consumers
- 32 completed surveys collected
- Sample adequate for segmentation & discriminant analysis



Segmentation Approach

Attitudinal Bases

These variables define why customers differ
(The "Core"):

- Routine: Is coffee a daily habit?
- Brand Personality: Fit with "fun & energetic" culture?
- Community: Importance of local/social connection.
- Flavor: Willingness to pay for unique items.

Descriptors

These variables help us find and target them:

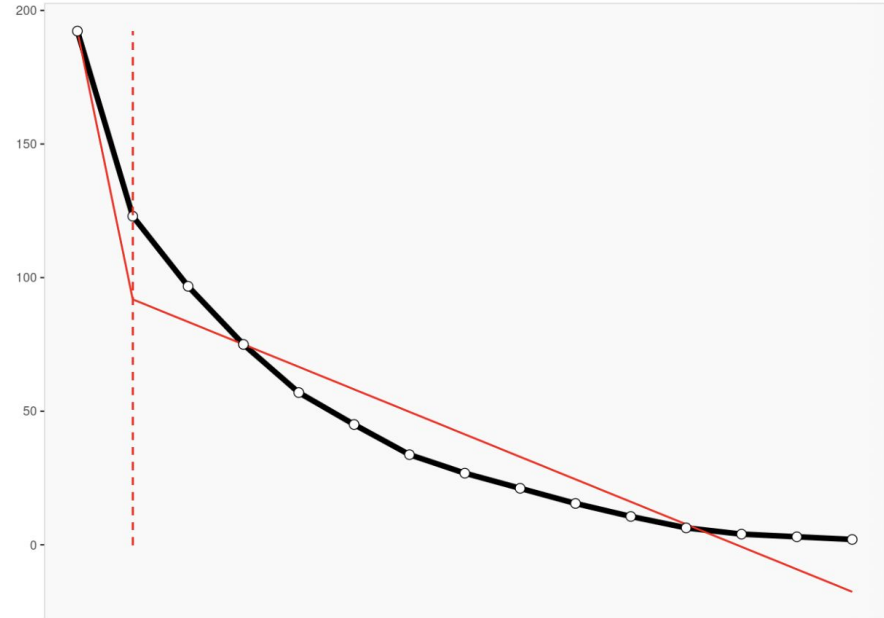
- Demographics: Age, Gender.
- Behavioral: Drink Type (Iced vs Hot), Frequency.
- Channel: Drive-thru vs Walk-up.
- Lifestyle: Social, Creative, Busy.



Determining the Segments

From Exploratory to Stable

- Initial Run: 5 clusters were identified but deemed too small and statistically unstable for practical application.
- Final Solution: A robust 2-Cluster Solution was validated using Ward's Hierarchical Method.
- The "Elbow": Visual outputs indicated a clear separation point, making these two groups distinct and 100% classifiable.





Traditionalists

18% of Market

Key Trait: "Low-Engagement"

- **Perspective:** Coffee is functional, not emotional.
- **Behavior:** Occasional visits, price-sensitive.
- **Preference:** Standard hot coffee options.
- **Opportunity:** A growth target for convenience-driven value.



Loyalists

82% of Market

- Key Trait: "Brand-Engaged"
- **Perspective:** Coffee is a key part of daily lifestyle.
- **Behavior:** Frequent visits, higher spend, socially active.
- **Preference:** Iced, blended, and unique energy drinks.
- **Alignment:** Deeply connected to the fun, friendly vibe.





Segment Comparison

Attribute	Low-Engagement Traditionalists	Brand-Engaged Loyalists
Drink Preference	Hot / Traditional Coffee	Iced / Blended / Rebel Energy
Visit Frequency	Occasional (Avg 1.0)	Regular / High (Avg 1.5+)
Motivation	Habit & Convenience	Brand Vibe, Taste & Social
Purchase Method	Walk-up / In-person	Drive-thru / Mobile App
Demographics	Mixed / Older Skew	Younger Professionals / Students



Targeting Strategy



Primary Target: Loyalists

Goal: Retention & Advocacy

Focus on community events, exclusive app rewards, and "secret menu" drops to deepen the emotional bond.



Secondary Target: Traditionalists

Goal: Frequency & Conversion

Leverage speed-of-service messaging and limited-time value offers to turn occasional visits into a habit.



Targeting Strategy: Next steps

BUCK FOR KIDS 2025

ANNUAL FUNDRAISER FOR LOCAL KIDS CHARITIES! ASK YOUR STAND WHAT ORGANIZATION THEY ARE FUNDRAISING FOR!

Friday
Sept. 19th
5AM

FACEBOOK: DUTCH BROS STICKER DROPS
Instagram: @dutchbrostickerdrop

The poster features a red balloon character holding a string of balloons, one of which is shaped like the letters 'B4K'. The background is a gradient of blue, yellow, and red.

Text Me

LONELY GHOST

DUTCH BROS

92

A SWEET TREAT FROM LONELY GHOST AND DUTCH BROS COFFEE

The poster shows a Dutch Bros coffee cup with a small white ghost on top. The background is blue with white stars and a ghost icon. The text 'Text Me' is in a cursive font at the top left.

ORNAMENT DROP

BLACK FRIDAY
Nov. 28th
10AM

Get one mystery ornament with every medium or large drink purchase!

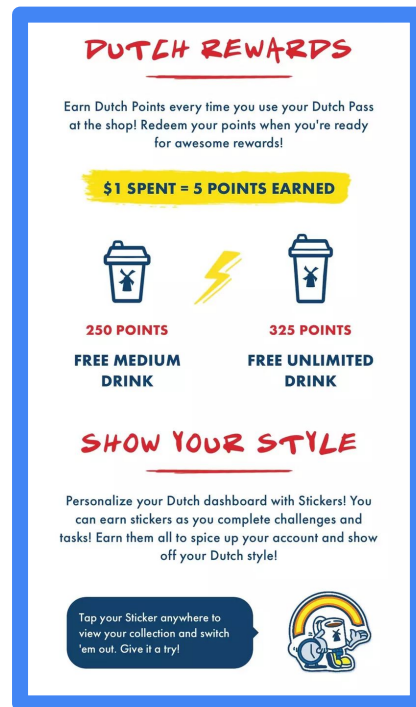
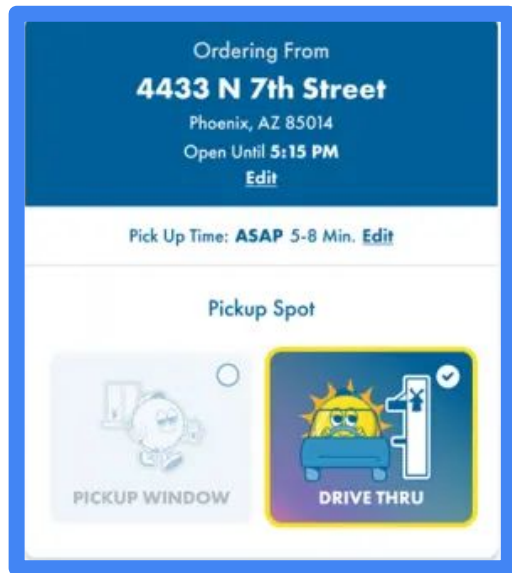
Facebook: Dutch Bros Sticker Drops
Instagram: @dutchbrostickerdrop

The poster features three Dutch Bros coffee cups with different holiday-themed stickers: 'Merry & AMPED', 'Holly Jolly HYPE', and a blue ghost. The background is a gradient of green, blue, and purple.





Targeting Strategy: Next steps





THANK YOU!